Choosing a Portfolio Return Assumption

For a lifetime financial plan, the most intuitive way to express a portfolio return assumption is as an inflation-adjusted compounding return. Unfortunately, this is not the most common way returns are expressed. A quick review of the steps needed to arrive at a real compounded return for a portfolio, as well as other adjustments that may be needed to create a properly conservative portfolio return assumption, is in order. This will provide a backdrop for reasonable returns to anchor to in later exhibits.

I will illustrate the process by first focusing on the compounded real returns generated historically since 1926 by a 50/50 asset allocation to large-capitalization US stocks (the S&P 500) and intermediate-term US government bonds (ITGB). This is displayed in Exhibit 2.1.

Exhibit 2.1

Components of Portfolio Return Assumptions